

Complete Guide to Market Regime Indicators

From Theory to Practice (Part 2)



AXEL ADLER JR

NOV 11, 2025 · PAID



Share

...

Why Do Investors Miss Market Reversals?

Because they're watching classical metrics when **institutions already saw the signals three weeks ago** - in credit spreads, bond liquidity, and Fed real rates.

In 2018, HY spreads rose from 300 to 550 bps **a week before the S&P collapsed by -20%**.

In March 2023, the MOVE Index spiked to 135 and **warned of the banking crisis** before the news broke.

What's Inside Part Two

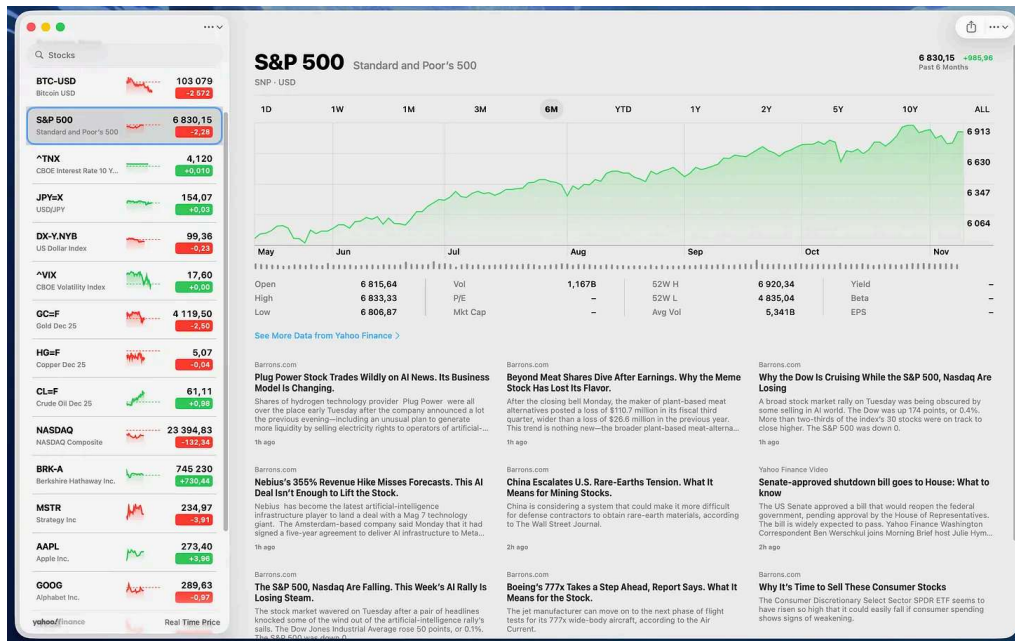
5 key indicators that funds use, Specific levels, action logic, and rules:

You'll learn **when to reduce risk**, when to add exposure, and how to read divergences between equities and credit.

This isn't forecasting - it's a fundamental framework that can save **tens of percentage points of capital** on the next reversal.

I hope you've all reviewed and studied the basic minimum from the **first part** and have already set up a dashboard like this that you monitor on a daily basis.





Part 2: Advanced Indicators

These metrics provide early warning of regime changes and allow you to see what's hidden from most market participants.

2.1 Credit Spreads: HY Spreads



What to watch: High Yield (junk bond) spreads - the yield premium of junk bonds over Treasuries. <https://www.tradingview.com/symbols/FRED-BAMLH0A0HYM2/?timeframe=12M>

Why this is critical: Credit doesn't lie. Equity can rise on liquidity and momentum, but credit analysts and bondholders see the real state of corporate balance sheets. Widening spreads means institutional money is voting for default risk.

Critical levels:

- **< 300 bps:** Minimal risks - acceptable in a stable cycle. **Important:** at these levels, any reversal (PMI ↓, earnings miss, CB surprise) produces a stronger reaction, as the market isn't pricing in a cushion
- **300-400 bps:** Normal regime, healthy caution
- **400-600 bps:** Elevated stress, beginning of risk-off flows
- **> 600 bps:** Crisis mode (2008 = 2000 bps, 2020 = 1100 bps)

Trading logic:

- **Spreads narrowing (300→250):** risk assets have support, can add exposure
- **Spreads widening (350→450):** time to reduce risk, increase portfolio quality
- **Divergence with equity:** Stocks rising but HY spreads widening → early warning, don't trust the rally

Practical application:

- Use as a filter: don't open aggressive longs in risk assets if HY > 500
- Watch the rate of change: +100 bps in a month → red alert
- Compare with VIX: if VIX is calm but spreads are growing → trust credit, not equity vol

Example (December 2018): S&P fell from 2930 to 2350 (-20%), but HY spreads began widening from 300 to 550 **2-3 weeks earlier**. Those who monitored credit managed to reduce exposure before the main drop.

Current Status:

3.15% now looks **comfortably neutral**.

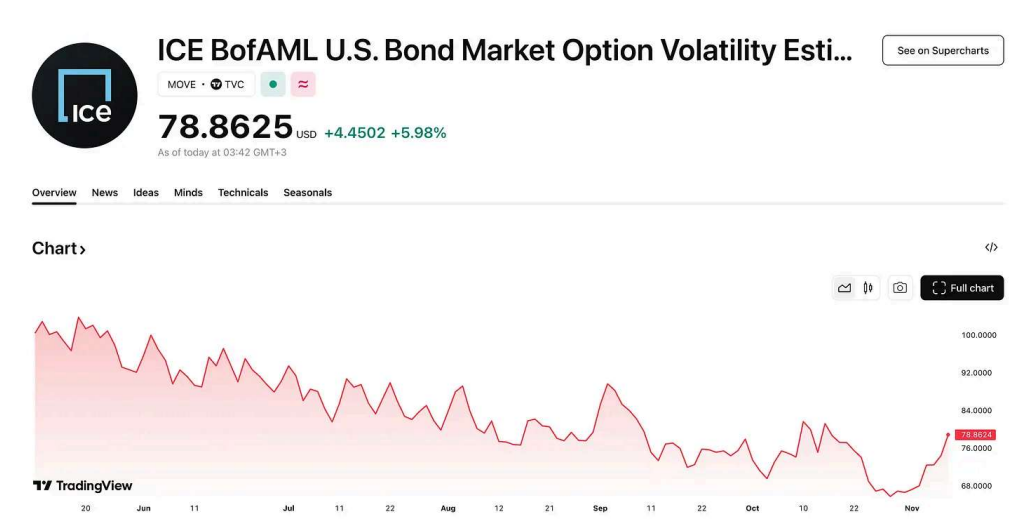
How to read in the context of risk-regime:

1. **For risk assets in general:**
HY at 3.15% supports the scenario of "moderate risk-on / normal backdrop". You can live with risk, but we're monitoring dynamics.
2. **For our framework:**
 - If HY hovers in 2.8–3.5% and there's no synchronous growth in MOVE/VIX → credit confirms stability.
 - If we see **acceleration 3.1 → 3.8 → 4.2%** over several weeks with calm S&P - that's already an early warning.
3. **For Bitcoin context:**
 - At this level, credit **doesn't block** bullish or neutral scenarios for BTC.

- Look at the cluster: HY ~3.1% is ok if simultaneously there's no combination of MOVE > 110, VIX > 25, Real rate sharply up, ISM < 48.

Conclusion: current HY spread now says “market is cautious but far from panic” - this is a positive and, most importantly, **healthy** backdrop for our risk model.

2.2 Liquidity: MOVE Index



What to watch: MOVE Index - “VIX for bonds”, measures implied volatility of UST options. <https://www.tradingview.com/symbols/TVC-MOVE/?timeframe=6M>

Why this is critical: Bonds are the foundation of the entire financial system. When liquidity breaks in the Treasury market, everything breaks. MOVE provides early warning of problems in the “risk-free” asset.

Critical levels:

- < 70: Excessive complacency (complacency zone)
- 70-90: Normal regime
- 90-110: Tension, attention
- > 110: Stress regime
- > 130: Crisis (March 2020 = 165, October 2008 = 250+)

Connection with other markets:

- MOVE ↑ + VIX ↑: Systemic stress, cut everything
- MOVE ↑ + VIX stable: Specific problem in bonds (QT, debt ceiling)
- MOVE ↓ + VIX ↓: All clear, can increase risk

Trading logic:

- **MOVE < 70:** Overconfidence in fixed income, expect a surprise
- **MOVE spike > 120:** Zone where it's **worth looking for** entry points, if:
 - HY spreads aren't widening aggressively
 - Real rate isn't in an extremely restrictive zone
 - ISM isn't showing collapse Without confirmation from other indicators, the spike may only be the beginning of re-pricing systemic risks
- Rising MOVE with flat VIX: **Major red flag** - institutions see risks that retail doesn't

Practical application: Use as a trigger for sizing:

- MOVE < 90: normal risk exposure
- MOVE 90-110: cut by 30-40%
- MOVE > 110: defensive mode, maximum cash

Example (October 2023): Israel-Hamas conflict + debt ceiling concerns → MOVE spike to 135. S&P fell 10%, but those who monitored MOVE began hedging a week before the main equity volatility.

Current Status:

78.9 now says: liquidity is normal, but perfect calm has ended, turning on attention, not panic.

Brief scale:

- < 70 — extreme calm / complacency
- 70-90 — normal regime, local spikes, but no systemic stress
- 90-110 — tension, tangible risks in UST/liquidity
- > 110-120 — serious stress / crisis regimes

Current ~78.9:

1. Regime:

- Within **healthy 70-90**: liquidity in Treasuries exists, market is functioning.
- Above ultra-low values - this is more an exit from the “rosy zone” than entrance into crisis.

2. Dynamics:

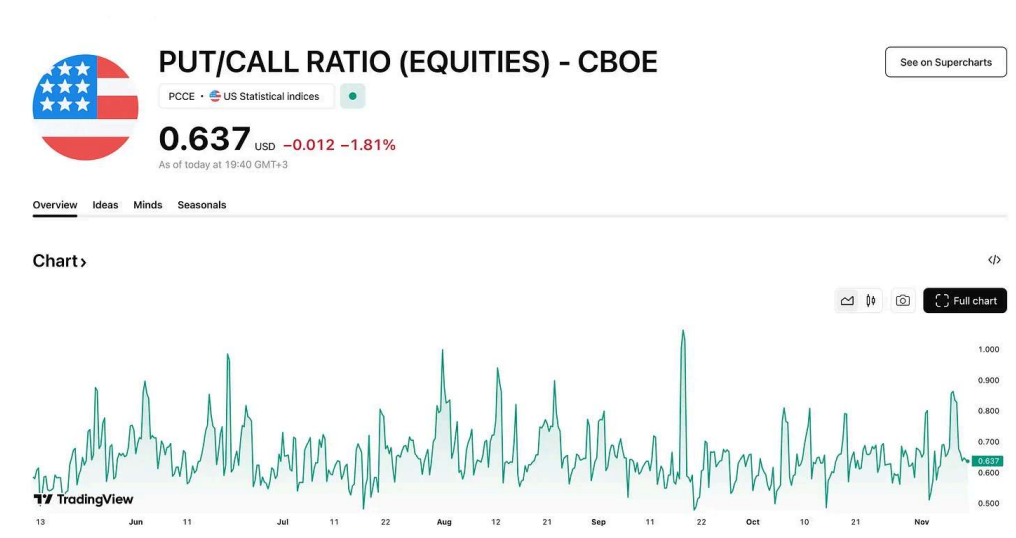
- If growth was from 65-70 to 79:
 - This is an **early wake-up signal**, but not a trigger for sharp risk-off.
 - We watch whether this becomes a sustained trend toward 90+.

3. Connection with previous indicators:

- HY OAS ~3.15% (normal range) + MOVE ~79:
 - **Credit isn't screaming**, liquidity ok → cluster says “moderate risk-on / neutral”.
- For our framework:
 - With MOVE < 90 and HY < 400 bps — **standard risk can be maintained**, without inflating leverage.
 - Red flag begins if:
 - MOVE breaks **90+** and holds,
 - HY goes > **400–450 bps**,
 - while VIX/real rate/ISM begin confirming.

Current MOVE level ≈ 79: U.S. Treasuries market remains liquid, stress is limited. This confirms a neutral-positive backdrop for risk assets and BTC. Growth from extremely low levels requires attention, but we're still far from zones where the model requires aggressive risk reduction (> 100).

2.3 Positioning: Put/Call Ratio & Sentiment



What to watch:

- CBOE Equity Put/Call Ratio (21-day MA)
- AAI Bull/Bear Sentiment

<https://www.tradingview.com/symbols/USI-PCCE/?timeframe=6M>

Important: Use CBOE Equity-Only P/C (not total, not index) - levels are different, and retail/institutional positioning are read differently.

Why this is critical: Markets are moved not by fundamentals themselves, but by **changes** in positioning. When everyone is already in one-sided positions, there's no one left to buy/sell.

Critical levels:

Put/Call Ratio:

- **< 0.60:** Extreme bullish positioning, complacency → correction risk
- **0.60-0.85:** Normal regime
- **0.85-1.10:** Caution growing
- **> 1.10:** Fear/panic → contrarian buying opportunity

AII Sentiment:

- **Bulls > 50%, Bears < 25%:** Euphoria, top risk
- **Bulls < 25%, Bears > 45%:** Capitulation, possible bottom

Trading logic - contrarian:

- **Extreme greed:** ($P/C < 0.55$, Bulls > 55%) → time to reduce exposure, take profit
- **Extreme fear:** ($P/C > 1.15$, Bears > 50%) → look for entry points, market is washed out

Important nuance: Extremes can last! Low put/call can persist for months before correction. Use as a **filter**, not a timing tool:

- Don't short just because sentiment is bullish
- But don't add aggressively to risk when P/C is at minimums

Practical application: Combine with other metrics:

- $P/C < 0.6 + VIX < 13 + \text{HY spreads narrowing} = \text{Complacency extreme}$, be ready for sharp movement
- $P/C > 1.2 + \text{AII Bears} > 45\% + VIX > 30 = \text{Washed out}$, start looking at longs

Example (March 2023): Banking mini-crisis → AII Bears spike to 52%, P/C ratio → 1.35, VIX > 28. Two weeks later, one of the year's strongest rallies began. Positioning was completely cleaned out.

Current Status:

0.637 now says: **moderately bullish but not extreme sentiment** - livable, but euphoria is nearby, we don't build timing on this alone.

Chart breakdown:

- < **0.60** - extreme greed / complacency
- **0.60–0.85** - normal range
- > **0.85** - growing caution
- > **1.10** - fear / panic, contrarian buy zone

Currently:

1. Regime:

- Current value ~**0.64** lies **in the lower part of the normal range**.
- This = market is playing more calls, but without obvious madness of 0.5x level.

2. Dynamics and MA nuance:

- Important to look not at one day, but at **21-day average**.
- Visually, current level is close to “mild optimism”, but not a stable extreme.
- Logic for framework: signal only if 21d MA **sustainably** < **0.60**.

3. Cluster with HY and MOVE:

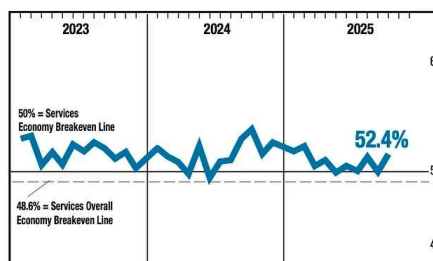
- HY OAS ~3.15% → credit is calm.
- MOVE ~79 → liquidity is normal.
- PCCE ~0.64 → soft risk-on, but not a bubble.
- Together: **healthy optimism**: standard risk can be maintained, but:
 - don't inflate leverage,
 - be ready that any negative news with such sentiment can give a sharp short squeeze down in risk.

Current CBOE Equity Put/Call Ratio ≈ 0.64: lower boundary of normal range. Market is optimistic but not yet in total euphoria phase. Combined with neutral HY spreads and calm MOVE, this confirms a moderate risk-on regime where standard or slightly elevated risk exposure is acceptable, but without aggressive leverage buildup.

2.4 Core of Economic Activity: US ISM Services

SERVICES PMI® at 52.4%

In October, the Services PMI® registered 52.4 percent, a 2.4-percentage point increase compared to the September reading of 50 percent. A reading above 50 percent indicates the services sector economy is generally expanding; below 50 percent indicates it is generally contracting. A Services PMI® above 48.6 percent, over time, generally indicates an expansion of the overall economy. Therefore, the October Services PMI® indicates the overall economy is expanding for the 65th straight month.



What to watch: ISM Services PMI (US) - business activity indicator in the services sector. <https://www.ismworld.org/supply-management-news-and-reports/reports/ism-pmi-reports/>

Why this is critical: US Services = 80% of the American economy = anchor for global risk-on/risk-off flows. Everyone watches Manufacturing PMI, but services - that's where most Americans work and where main value-added is created. More stable and reliable indicator.

Critical levels:

- > 55: Strong expansion, support for risk assets
- 50-55: Moderate growth, normal regime
- 48-50: Stalling, attention
- < 48: Contraction, recession concerns

Interpretation:

- **ISM Services > 53 + Manufacturing < 50:** This was in 2022-2023 → explained labor market resilience and soft landing narrative
- **Both PMI < 50:** Recession incoming, yields fall, defensive positioning
- **Sharp drop (55→48 in a quarter):** Lead indicator for equity correction

Connection with markets:

- ISM Services strong → support for Consumer Discretionary, Travel, Entertainment stocks
- ISM Services weak → employment concerns → Fed dovish pivot expectations → yields ↓

Trading logic:

- PMI stably > 53: can hold risk assets with confidence
- PMI 48-50 range: caution, don't add
- PMI < 47: time to hedge, recession odds rising

Practical application: Use in combination with labor market:

- ISM Services > 52 + NFP strong = Economic strength → hawkish Fed risk → watch yields
- ISM Services < 49 + Unemployment rising = Growth scare → yields ↓, gold ↑, defensive sectors outperform

Example (2023): ISM Services held at 50-54 all year, despite banking stress and curve inversion. This gave confidence that recession wasn't imminent and supported equity rally.

Current Status:

Source data (Services PMI, October 2025):

- **Services PMI = 52.4** (vs 50.0 in September)
- **Services sector break-line: 50**
- **Economy-wide break-line: 48.6**
- **Meaning: 65th consecutive month** economy is in growth zone by ISM methodology.

Key components:

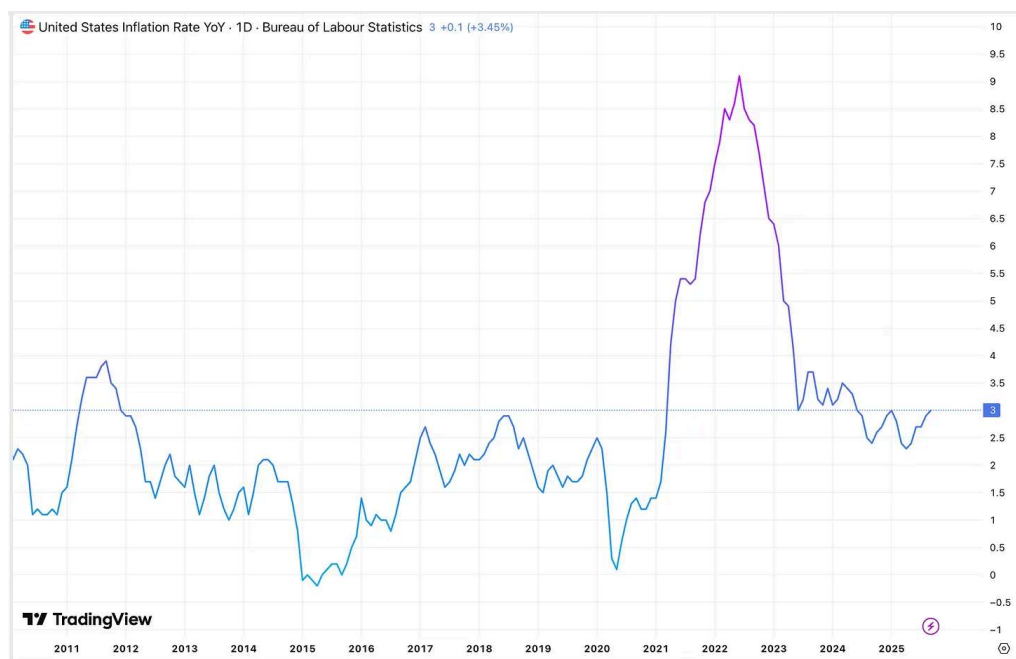
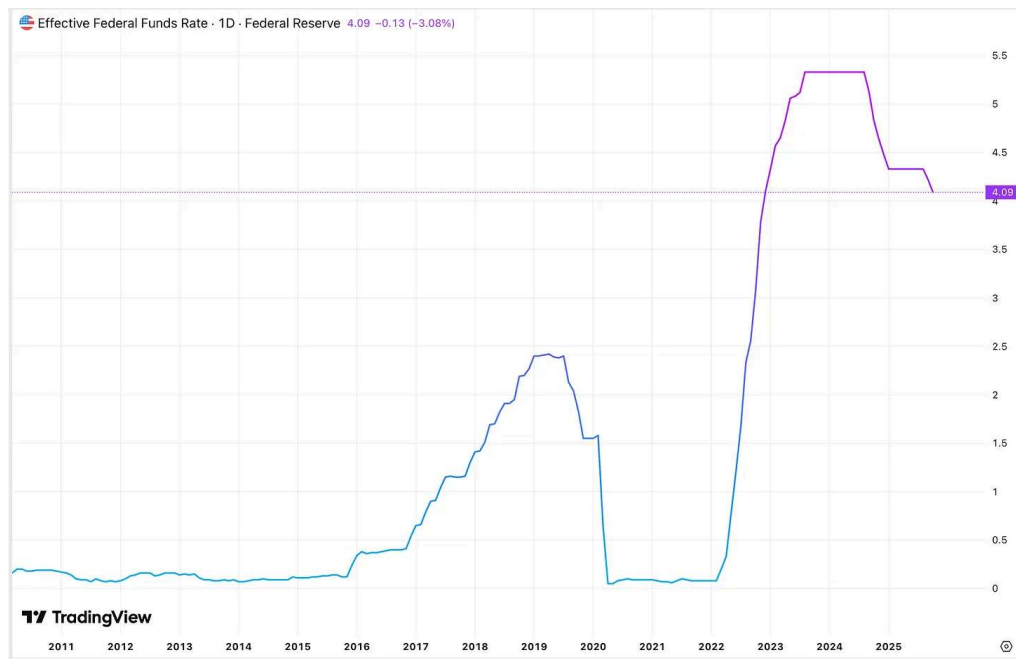
- **Business Activity: 54.3** - returned to growth.
- **New Orders: 56.2** - strong demand, best level since October 2024.
- **Employment: 48.2** - still contracting, but slightly better.
- **Prices: 70.0** - very high inflationary pressure in services.
- **Backlog: 40.8, Imports: 43.7** - weak, pro-cyclical "cautious" backdrop.

For our framework:

1. **Level 52.4** → clearly falls into range 50-55: "**moderate growth / normal regime**".
2. **Growth from 50 to 52.4** → signal of "re-acceleration", scenario of no immediate recession, support for soft-landing / normal risk-on.
3. **But:** Employment < 50 and Prices = 70:
 - services are pulling the economy,
 - but inflationary pressure in services remains high,
 - this = risk of longer restrictive Fed policy.

Current ISM Services PMI = 52.4: US services sector is again confidently in growth zone. This confirms absence of immediate recession signal and supports neutral-positive backdrop for risk assets and BTC. However, combination of strong new orders and high prices (70) with weak employment (<50) points to sustained inflationary pressure in services - market isn't getting a "clean" dovish signal from macro. In the regime system, this is more **"healthy but not risk-free risk-on/neutral"**, which needs to be read together with real rate and yields.

2.5 Central Banks: Real Fed Funds Rate



What to watch: Real Fed Funds Rate = Effective Fed Funds Rate - CPI YoY

<https://www.tradingview.com/chart/?symbol=FRED%3AFEDFUNDS>

<https://www.tradingview.com/chart/?symbol=ECONOMICS%3AUSIRYY>

Why this is critical: This is **one of the most honest integral metrics** of policy tightness. Nominal 5% rate means completely different things with 2% inflation versus 8% inflation.

Critical levels:

- **Real rate < -2%:** Extremely accommodative, bubbles, asset inflation inevitable
- **Real rate -2% to 0%:** Accommodative, asset support
- **Real rate 0% to +1%:** Neutral, doesn't help, doesn't hurt
- **Real rate +1% to +2.5%:** Restrictive, pressure on economy
- **Real rate > +2.5%:** Very restrictive, recession risk rising

Historical context:

- **2010-2021:** Real rate almost always negative → unprecedented bull market, QE era
- **2022:** Real rate went positive for first time in years → brutal bear market
- **2023-2024:** Real rate ~2% → economy holding, but growth stocks suffering

Trading logic:

Real rate falling (becoming less positive):

- Fed easing faster than inflation
- Support for all risk assets
- Duration assets (growth, tech, crypto) especially benefit

Real rate rising:

- Tightening conditions
- Pressure on long duration assets
- Prefer value over growth, quality over junk

Important nuance - lag effects: Scenario “real rate > 2% + weak economy → cuts → risk-on” works as a **lagged sequence**:

1. First pain (earnings miss, unemployment ↑)
2. Then Fed pivot expectations
3. Then yields ↓
4. Only after - sustained risk-on

Don't perceive as instant buy signal at moment of weak data.

Practical application:

Scenarios:

1. **Real rate < 0% + inflation falling:** Fed may hold rates → watch pivot expectations
2. **Real rate > +2% + economy slowing:** Recipe for cuts → yields ↓, gold ↑, but first volatility
3. **Real rate > +2% + inflation sticky:** Worst case → continued pressure on everything

Combine with yields:

- Real rate ↑ + 10Y yields ↑ = Tightening financial conditions, be careful
- Real rate ↓ + 10Y yields ↓ = Dovish pivot, asset support

Example (2023): Real Fed Funds rose from -5% (early 2022) to +2.5% (fall 2023). This was the most aggressive tightening in 40 years. But economy held → Fed pause → yields stabilized → equity rally in Q4.

1. **Effective Federal Funds Rate**
2. **US Inflation Rate YoY (CPI)**

From these we calculate:

$$\text{Real FFR} = \text{EFFR} - \text{CPI YoY}$$

From the two charts:

- $\text{EFFR} \approx 4.09\%$
- $\text{CPI YoY} \approx 3.0\%$
- $\text{Real FFR} \approx 1.09\%$

Interpretation by our scale:

- **0–1%** - almost neutral
- **1–2.5%** - already restrictive, but not “breaking everything” regime
- **> 2.5%** - aggressively restrictive

So currently: **moderately tight policy**, pressure on risk assets exists but not extreme.
Use as main indicator of monetary policy tightness.

Conclusion of Part 2:

Risk Management System

Early warning system:

1. **HY Spreads widening** = Institutions see risk
2. **MOVE Index rising** = Liquidity problems beginning
3. **Put/Call ratio extremes** = Positioning cleaned out or overloaded
4. **ISM Services < 48** = Real economy weakening
5. **Real rate > 2%** = Tight policy pressing on growth

When 3+ indicators are red: → Not necessarily short, but **mandatory**:

- Cut gross exposure by 30-50%
- Remove speculative tails (leverage, high beta)
- Increase quality (cash, quality bonds, defensive sectors)

When all 5 are green: → Not all-in, but **upper boundary of acceptable risk budget**:

- Maximum position within strategy (no more!)
- Can take tactical longs in high beta
- But with pre-determined stop-loss plan

Most important: System gives zones of probability, not guarantees. Discipline beats prediction. One indicator - noise. Three indicators - signal. Five indicators - imperative to act.

Overall Conclusion:

Current cluster analysis:

HY OAS: 3.15% → ● normal (300-400 bps)
 MOVE: 78.9 → ● normal (70-90)
 PCCE: 0.64 → ● moderately bullish (lower boundary of norm)
 ISM: 52.4 → ● moderate growth (50-55)
 Real FFR: 1.09% → ● moderately restrictive (1-2.5%)

The cluster now looks like **healthy but vigilant risk-on**: HY spreads around 3.15% and MOVE ~79 confirm absence of credit and liquidity stress, PCCE ~0.64 shows moderate optimism without overheating, ISM Services 52.4 points to continuing services growth with high price pressure, and Real Fed Funds ~1.1% signals still moderately tight but not killer Fed policy. This configuration doesn't block bullish scenario for risk assets and BTC, but requires discipline: normal/slightly elevated risk is acceptable, aggressive leverage and blind euphoria - no.

In the next issue of the educational course, we'll assemble market regimes: pure regime, complex regimes: inflationary shock, recessionary shock, stagflation (worst regime), Soft Landing (best regime), and regime transitions - most profitable but dangerous for trading. And in parts four and five, we'll assemble the workflow for analysis and move to case studies.

Thank you for subscribing, it's especially important for us at this early stage. We're in the final stage of launching Adler AM and expect release in the next two weeks. As a reminder, Adler AM is daily morning briefs on BTC and macro that help you assemble a complete market picture in just a few minutes.

With respect,
Axel Adler Jr.



1 Like · 1 Restack

← Previous

Next →

Discussion about this post

Comments Restacks



Write a comment...

© 2025 Axel Adler Jr · [Publisher Privacy](#) · [Publisher Terms](#)
[SubstackPrivacy](#) · [Terms](#) · [Collection notice](#)
[Substack](#) is the home for great culture

